SECTION A – 2 MARKS

Q1. (a)

Body corporate (Sec. 2(11)) includes a company registered under the Companies Act and a company incorporated outside India. It does not include a co-operative society or any other body notified by the Central Government. It has a separate legal existence and can own property, sue and be sued in its own name.

Q1. (b)

One Person Company (OPC) (Sec. 2(62)) is a company which has only one person as its member. The member must be a natural person and an Indian citizen, and must name a nominee who becomes the member on his death or incapacity. It gives a single owner limited liability and a separate legal entity.

Q1. (c)

Memorandum of Association (MoA) (Sec. 2(56)) is the charter or main document of a company which states its constitution, objects and scope of activities. It contains the name, registered office, objects, liability, capital and subscription clauses. The company cannot do anything beyond its MoA (doctrine of ultra vires).

Q1. (d)

Certificate of Incorporation is the certificate issued by the Registrar of Companies under Sec. 7(2) after registering a company. It gives the Corporate Identity Number (CIN), and the company becomes a separate legal person from the date mentioned in it. It is conclusive proof of registration.

Q1. (e)

Key Managerial Personnel (KMP) (Sec. 2(51)) are the top officers who manage a company. They are the CEO or Managing Director or Manager, the Company Secretary, the Whole-time Director, the Chief Financial Officer (CFO), and any other officer designated as KMP by the board.

Q1. (f)

1. **Independent director (Sec. 149(6)):** A non-executive director who has no financial or close relationship with the company and gives an unbiased view. Listed companies must have at least one-third independent directors.
2. **Whole-time (executive) director:** A director in full-time employment of the company who takes part in day-to-day management, such as the Managing Director.

Q1. (g)

Proxy (Sec. 105) is a person appointed by a member, who is entitled to attend and vote at a general meeting, to attend and vote on his behalf. A proxy need not be a member, cannot speak at the meeting and can vote only on a poll. The proxy form must be deposited at least 48 hours before the meeting.

Q1. (h)

Notice of meeting is a written or electronic message sent to every member, director and auditor, telling them the date, day, time, place and business (agenda) of a meeting. For a general meeting, at least 21 clear days' notice must be given (Sec. 101); shorter notice needs 95% members' consent.

Q1. (i)

Quorum is the minimum number of members who must be personally present to validly conduct a meeting (Sec. 103). For a public company it is 5, 15 or 30 members (up to 1,000, up to 5,000, and above 5,000 members); for a private company it is 2 members. Business done without quorum is invalid.

Q1. (j)

Defunct company is a company that has stopped its business and is no longer active, with no business operations. The Registrar can strike its name off the register (Sec. 248) when it fails to start business within one year of incorporation, or does not carry on any business for two immediately preceding financial years.

SECTION B – 5 MARKS

Q2.

1. **Incorporated association:** A company comes into existence only when it is registered under the Companies Act, 2013.
2. **Separate legal entity:** It is an artificial person, separate from its members; it can own property, make contracts, sue and be sued in its own name.
3. **Perpetual succession:** Its life does not depend on its members; members may come and go, but the company continues until it is wound up.
4. **Limited liability:** Members' liability is limited to the unpaid amount on their shares or the amount guaranteed.
5. **Transferability of shares and separate management:** Shares of a public company can be transferred freely, and it is managed by elected directors, not by all owners.

Q3.

1. **Reservation of name:** The promoters apply to the Registrar (RUN or SPICe+ Part A) to approve a unique name.
2. **Preparing MoA and AoA:** The Memorandum and Articles of Association are drafted and signed by the subscribers.
3. **Filing documents with the Registrar (Sec. 7):** The SPICe+ form is filed with the MoA, AoA, declarations of compliance, consent of directors, and proof of the registered office.
4. **Payment of fees and stamp duty:** Registration fees and stamp duty are paid online with the form.
5. **Certificate of Incorporation:** After scrutiny, the Registrar registers the company and issues the certificate with the CIN, PAN and TAN; the company is born on that date.

Q4.

Basis	Memorandum of Association	Articles of Association
Meaning	Charter of the company that states its objects and powers	Rules and bye-laws for the internal management of the company
Section	Sec. 2(56)	Sec. 2(5)
Relationship	Defines the company's relationship with outsiders	Defines the relationship between the company and its members
Alteration	Difficult; needs a special resolution and sometimes Central Government or Registrar approval	Easy; can be altered by a special resolution (Sec. 14)
Acts beyond it	Ultra vires and void; cannot be ratified even by all members	Can be ratified by the members by a special resolution

Q5.

1. **Act as per the Articles (Sec. 166(1)):** A director must act according to the company's Articles of Association.
2. **Act in good faith:** He must work to promote the objects of the company for the benefit of its members, employees, shareholders, the community and the environment.
3. **Due care, skill and diligence:** He must work with reasonable care and skill, and use independent judgement.
4. **Avoid conflict of interest:** He must not have any direct or indirect interest that conflicts with the interest of the company, and must disclose his interest (Sec. 184).
5. **No undue gain:** He must not make any undue gain for himself or his relatives; any such gain must be paid back to the company. He cannot assign his office to anyone.

Q6.

1. **Decision-making:** Important matters such as approval of accounts, declaring dividend, and appointing directors and auditors are decided at meetings.
2. **Democratic control:** Members can express their views and vote, so the owners keep control over the management.
3. **Accountability and transparency:** Directors present reports and accounts, and members can question them.

4. **Legal requirement:** The Companies Act requires certain meetings, such as the Annual General Meeting (Sec. 96) and at least four board meetings a year (Sec. 173).
5. **Communication and approval of changes:** Meetings link the management and the shareholders, and approve major changes such as altering the MoA or AoA.

Q7.

1. **Ordinary resolution (Sec. 114(1)):** Passed when the votes in favour are more than the votes against (simple majority), e.g. adopting accounts or appointing auditors.
2. **Special resolution (Sec. 114(2)):** Passed when the votes in favour are at least three times the votes against (75%), and the intention is stated in the notice, e.g. altering the Articles.
3. **Resolution requiring special notice (Sec. 115):** Members holding at least 1% of voting power must give notice of their intention at least 14 days before the meeting, e.g. removal of a director or auditor.
4. **Resolution by circulation (Sec. 175):** A board resolution passed without a meeting by sending the draft to all directors and getting their approval.
5. **Resolution by postal ballot (Sec. 110):** Members vote by post or electronically without attending the meeting, e.g. for sale of the whole undertaking.

SECTION C – 10 MARKS

Q10.

On the basis of liability

1. **Company limited by shares (Sec. 2(22)):** Members' liability is limited to the unpaid amount on their shares.
2. **Company limited by guarantee (Sec. 2(21)):** Members are liable only up to the amount they promise to contribute at the time of winding up.
3. **Unlimited company (Sec. 2(92)):** There is no limit on the liability of members; their personal property can be used to pay company debts.

On the basis of number of members

4. **Private company (Sec. 2(68)):** Minimum 2 and maximum 200 members; it restricts the transfer of shares and cannot invite the public to buy its shares.
5. **Public company (Sec. 2(71)):** Minimum 7 members and no maximum limit; its shares are freely transferable and it can raise money from the public.
6. **One Person Company (Sec. 2(62)):** A company with only one member, who must name a nominee.

On the basis of control and other kinds

7. **Holding and subsidiary company (Sec. 2(46), 2(87)):** A holding company controls the board of another company or holds more than half of its voting power; the controlled one is the subsidiary.
8. **Government company (Sec. 2(45)):** At least 51% of its paid-up share capital is held by the Central or State Government, e.g. SAIL, BHEL.
9. **Foreign company (Sec. 2(42)):** A company incorporated outside India which has a place of business in India.
10. **Section 8 company:** A not-for-profit company formed to promote commerce, art, science, education, sports, charity or social welfare; it uses its income for its objects and pays no dividend.

Q11.

Promotion

1. **Discovery of idea:** The promoter finds a business opportunity and decides to start a company.
2. **Detailed investigation:** He studies the technical, commercial and financial feasibility of the idea.
3. **Assembling resources:** He arranges the people, funds and property, and prepares the documents.

Incorporation (registration)

4. **Name reservation:** A unique name is approved by the Registrar through RUN or SPICe+.
5. **Preparing MoA and AoA:** The Memorandum and Articles are drafted and signed by the subscribers.
6. **Filing with the Registrar:** The SPICe+ form is filed with the MoA, AoA, declarations, directors' consent and fees.
7. **Certificate of Incorporation:** The Registrar issues the certificate with CIN, PAN and TAN; the company becomes a legal person.

Capital subscription

8. **Raising capital:** A public company issues a prospectus to the public, while a private company raises money from its members or by private placement.
9. **Minimum subscription and allotment:** Shares are allotted only after the minimum subscription (90% of the issue) is received; otherwise the money is refunded.

Commencement of business

10. **Declaration to start business (Sec. 10A):** Within 180 days of incorporation, the directors file a declaration that subscribers have paid for their shares; only then can the company start business and borrow.

Q12.

Role of Directors

1. **Policy making:** The board sets the objectives, policies and long-term strategy of the company.
2. **Managing company affairs (Sec. 179):** Directors exercise the powers of the company, such as issuing securities, borrowing, investing and approving financial statements.
3. **Appointing and supervising management:** They appoint the Managing Director, CEO, CFO and Company Secretary, and monitor their performance.
4. **Trustees and agents:** Directors hold the company's money and property in trust, and act as its agents when they make contracts for it.
5. **Compliance and accountability:** They ensure compliance with the Companies Act, keep proper accounts and give the Directors' Responsibility Statement (Sec. 134(5)).

Committees of the Board

6. **Audit Committee (Sec. 177):** At least 3 directors, with a majority of independent directors; it reviews financial statements, internal controls, auditors and related-party transactions.
7. **Nomination and Remuneration Committee (Sec. 178):** Three or more non-executive directors; it selects directors and senior managers and recommends their pay policy.
8. **Stakeholders Relationship Committee (Sec. 178(5)):** Required when a company has more than 1,000 security holders; it resolves their complaints about share transfer, dividends and annual reports.
9. **CSR Committee (Sec. 135):** For companies with a net worth of ₹500 crore, turnover of ₹1,000 crore or net profit of ₹5 crore; it frames the CSR policy and monitors spending of 2% of average profits.
10. **Risk Management Committee:** Required for large listed companies (SEBI rules); it identifies, assesses and controls business risks, including cyber security.